

Momentum Swing Trading Guide

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Chapter 1: Finding Momentum Before the Crowd

Momentum trading is about being early, not first. You do not need to catch the bottom. You need to catch the acceleration. Use relative strength to find stocks outperforming the market. When the S and P 500 pulls back two percent and a stock only dips half a percent, that stock has institutional support. Build a watchlist of twenty to thirty high relative strength names each week. When the broader market stabilizes or bounces, these stocks will lead the rally. Your scanner should filter for stocks above the fifty-day moving average with volume increasing over the prior five days.

Chapter 2: Sector Rotation Timing

Money flows through sectors in predictable cycles. Technology leads in early bull markets, then financials and industrials catch up. Defensive sectors like utilities and healthcare lead in late-cycle environments. Track sector ETFs weekly. When a sector breaks out of a three-month consolidation on heavy volume, that is your signal to find individual stocks within that sector. The best trades come from buying the strongest stock in the strongest sector during a healthy market tape. Sector rotation is the macro edge that separates professionals from retail traders.

Chapter 3: Breakout Pattern Recognition

The three most reliable breakout patterns are the flat-top breakout, the ascending triangle, and the high tight flag. For a flat-top breakout, price consolidates with a clear horizontal resistance line. Volume contracts during consolidation and expands on the break. Entry is on a close above resistance with volume at least fifty percent above the twenty-day average. Stop loss goes below the consolidation low. Target is measured by the height of the pattern projected from the breakout point. Combine pattern recognition with sector strength for the highest probability trades.

Chapter 4: Scaling Into Winners

Most traders make the mistake of going all-in at entry. Instead, take a starter position of twenty-five to thirty-three percent of your intended size. If the trade works and confirms your thesis, add another portion on the first pullback to the breakout level. Add the final piece if the stock breaks to new highs on volume. This way, your average cost improves only on winning trades. If the initial entry fails, you lose on a small position instead of a full one. Scale out the same way: take a third off at the first target and trail the rest with a moving stop.